

THE GENERAL BUSINESS STARTER PACKET

Four AI Governance Tools for Boards and Leadership Teams

WHAT'S INSIDE

- Tool 1: Board Resolution on AI Oversight
- Tool 2: AI Use and Data Governance Policy, with AI inventory
- Tool 3: 90-Day AI Governance Sprint
- Tool 4: Board Briefing Template, with questions for your broker and vendors

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Free from the companion workbook to Senior Housing: The AI Gap. Adapted for organizations outside senior housing.

Before You Start: Why This Packet Exists

Most organizations are already using AI. It sits inside the vendors' software, in the browser tabs employees open, and in the tools a department bought on a corporate card. What most of them lack is a file: a record showing who approved it, what data it touches, and who answers for it.

That gap is where governance theater lives. A committee meets, a slide gets shown, and nothing is decided. When a lender, insurer, regulator, or plaintiff's lawyer asks what you use and who approved it, "we discussed it" is not an answer.

Why now

- State AI law is a patchwork. Colorado, California, Texas, and other states have each taken different approaches, and your obligations depend on where your customers, employees, and vendors are.
- Insurers are adding AI exclusions and asking AI questions at renewal. What your policy covers for an AI error may differ from what you assume.
- Vendors keep shipping AI features into tools you already pay for, often switched on by default.

How to use this packet

Work through the tools in order. Each one is built to be adopted, not admired: edit the bracketed items, take it to your next meeting, and get a signature.

- **Tool 1** puts oversight on the record.
- **Tool 2** sets the rules and starts your AI inventory.
- **Tool 3** gives the next 90 days a shape.
- **Tool 4** keeps the board informed without a 40-slide deck.

These are starting templates, not legal advice. Have your counsel review them against the laws and contracts that apply to you before adoption.

Tool 1: Board Resolution on AI Oversight

Adopt at a regular meeting. Replace bracketed items. Record in the minutes.

RESOLUTION OF THE BOARD OF DIRECTORS OF [ORGANIZATION NAME]

WHEREAS, artificial intelligence tools are in use or being evaluated across [Organization] and are capable of affecting customers, employees, finances, and legal obligations; and

WHEREAS, the Board has a duty of oversight over material risks to the organization and wishes to document how that oversight will be exercised;

NOW, THEREFORE, BE IT RESOLVED:

- 1. Executive Sponsor.** The Board designates [Title] as Executive Sponsor for AI, accountable for the AI inventory, the policy in Tool 2, and reporting to the Board.
- 2. Inventory.** Within 30 days, management shall deliver an inventory of AI tools in use, including those embedded in vendor products, with owner, purpose, data touched, and autonomy level.
- 3. Autonomy levels.** No AI tool may operate above the approved autonomy level without written approval: L1, AI suggests and a human decides; L2, AI drafts and a human reviews before release; L3, AI acts and a human reviews samples afterward; L4, AI acts with no routine human review. L3 and L4 uses require Board or committee approval.
- 4. Data.** AI tools may not receive [confidential / regulated / personal] data unless covered by the policy in Tool 2 and a vendor agreement addressing retention and model training.
- 5. Insurance.** Management shall review AI-related exclusions and endorsements with the organization's broker before the next renewal and report the results to the Board.
- 6. Reporting.** Management shall report on AI use, incidents, and decisions at least [quarterly] using the Board Briefing in Tool 4.
- 7. Day-90 decision.** At day 90, the Board shall decide to expand, hold, or stop each pilot. Extensions without a decision are not permitted.

ADOPTED this ____ day of _____, 20__.

Executive Sponsor: _____ Date: _____

Board Chair: _____ Date: _____

Tool 2: AI Use and Data Governance Policy

A starting policy. Adapt to your industry and counsel's advice.

- 1. Purpose and scope.** This policy governs the use of AI tools, including generative AI, automated decision tools, and AI features embedded in vendor software, by employees, contractors, and vendors acting for [Organization].
- 2. Roles.** The Executive Sponsor owns this policy. Department heads approve use cases in their area. Legal/Compliance reviews any use affecting customers, employment, credit, or regulated activity.
- 3. Approved tools.** Only tools on the AI inventory may be used with organizational data. Employees may not enter confidential, regulated, or personal data into unapproved tools.
- 4. Data classification.** All data used with AI is classified using the table below. Each tool is approved only for the classes it is cleared for.
- 5. Human oversight.** Every use case is assigned an autonomy level (L1 to L4). Outputs that affect a person's job, pay, credit, health, benefits, or legal rights require human review before action.
- 6. Vendors.** Contracts for AI tools must address data retention, use of our data for model training, security, incident notice, subprocessors, and indemnity. Where available, request the vendor's AI documentation.
- 7. Incidents.** Suspected AI errors, data exposure, or harmful outputs are reported to the Executive Sponsor within [24 hours] and logged.
- 8. Review.** This policy and the inventory are reviewed at least annually and whenever a new law, insurer requirement, or major tool change occurs.

Data classification

Class	Examples	AI rule
Regulated	Health, financial account, government ID, children's data	Only tools with a signed agreement and Legal approval. No public AI tools.
Personal	Employee records, customer contact and account data	Approved tools only. No training on our data. Minimum necessary.
Confidential	Contracts, pricing, strategy, source code, unreleased financials	Approved enterprise tools only, with retention terms reviewed.
Public	Published marketing, public filings	Any tool permitted, human review for accuracy.

AI inventory (start here)

Tool / feature	Owner	Purpose	Data class	Level	Approved?
[e.g., CRM AI assistant]	[name]	[draft emails]	Personal	L2	[]
[e.g., meeting notetaker]	[name]	[summaries]	Confidential	L2	[]

Tool 3: 90-Day AI Governance Sprint

Twelve weeks from governance theater to a decision. Assign an owner to every deliverable.

Week	Stage	Key activity	Deliverable
1	Mandate	Name the Executive Sponsor; adopt the Tool 1 resolution	Signed resolution
2	Discover	Survey departments and IT for AI tools in use, including embedded vendor features	Draft inventory
3	Discover	Ask top vendors in writing about AI features, data use, and training	Vendor responses log
4	Classify	Assign data class and autonomy level to each tool	Completed inventory
5	Policy	Draft Tool 2 policy; Legal/Compliance review	Policy draft
6	Insure	Review policy language and AI exclusions with your broker	Coverage gap list
7	Policy	Approve policy; communicate to staff	Adopted policy
8	Pilot	Select one low-risk, L1/L2 use case with a named owner and a success measure	Pilot charter
9	Pilot	Run the pilot; log errors and overrides	Pilot log
10	Pilot	Measure against the success measure; collect user feedback	Results summary
11	Report	Prepare Board Briefing (Tool 4) with a recommendation	Board briefing
12	Decide	Board decides: expand, hold, or stop	Recorded decision

Day 90 decision is mandatory. Extensions are governance theater.

Tool 4: Board Briefing Template

One to two pages. Same structure every time, so the board can compare quarter to quarter.

1. Status

[On track / At risk / Off track] with one sentence on why. Sprint week: [__ of 12].

2. Key metrics

Metric	Last report	This report	Note
AI tools in inventory			
Tools approved / unapproved			
L3 or L4 uses			
Incidents or overrides logged			
Vendor responses received			

3. Financial summary

Spend on AI tools: \$[____]. Pilot cost: \$[____]. Measured benefit: [hours saved / errors avoided / revenue].
Open exposure: [uninsured or unquantified].

4. Stakeholder pulse

Employees: [____]. Customers: [____]. Regulators, lenders, or insurers who have asked about AI: [____].

5. Compliance checklist

- ☐ Inventory current within 90 days
- ☐ Policy adopted and communicated
- ☐ Vendor contracts reviewed for AI terms
- ☐ Applicable state AI laws reviewed by counsel
- ☐ Broker has reviewed AI exclusions

6. Decision required

[State the single decision the board is asked to make at this meeting.]

7. Recommendation

[Management recommendation and the main alternative considered.]

Tool 4 Add-On: Questions for Your Broker and Vendors

Questions to ask your broker

- Does any policy we hold contain an AI exclusion or limitation? Where is the language?
- If an AI tool makes an error that harms a customer, which policy responds, and are there sublimits?
- What AI information do underwriters expect at renewal, and what can they already see about us?
- Does our cyber or E&O coverage address AI-generated errors, data exposure, and vendor failures?

Questions to ask your vendors

- What AI features are in this product, and which are on by default?
- Is our data used to train or improve models? Can we opt out in writing?
- Where is data processed and how long is it retained?
- What happens to our service if a model or hosting provider changes?

What's in the Complete Workbook

This packet is an excerpt from the 76-page companion workbook to Senior Housing: The AI Gap. The full workbook adds compliance checklists, vendor evaluation tools, and the complete ninety-day playbook. It was written for senior housing operators; the structures here carry over to any organization with a board or leadership team.

The Second Ledger

Governance records what you decided. The Second Ledger method records what AI is doing on your behalf and who approved it, so the file exists before someone asks.

Keep going

- Book and workbook: amazon.com/dp/0998810371
- Weekly briefing and posts: youraigap.com
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